Bhushan Power & Steel Limited

December 12, 2025

Facilities/Instruments	Amount (₹ crore)	Rating[1]	Rating Action
Long Term Bank Facilities	8,000.00	CARE AA (RWD)	Placed on Rating Watch with Developing Implications
Long Term / Short Term Bank Facilities	8,848.00	CARE AA (RWD) / CARE A1+	LT rating Placed on Rating Watch with Developing Implications and ST rating reaffirmed
Commercial Paper	1,000.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The ratings assigned to the bank facilities/instruments of Bhushan Power & Steel Limited (BPSL) have been placed on 'Rating Watch with Developing Implications' (RWD) following JSW Steel Limited's (JSWSL) announcement to transfer BPSL Steel business undertaking, by way of slump sale on a going concern basis to JSW Sambalpur Steel Limited (JSSL) for cash consideration of ₹24,483 crore. JSSL is 100% held by JSW Kalinga (JKL), while JKL is wholly owned by Piombino Steel Limited (PSL; parent of BPSL and subsidiary of JSWSL). The transaction involves JFE Steel Corporation (JFE), investing 50% equity stake in JKL at aggregate consideration of ₹15,750 crores in two equal tranches. The proposed transaction is subject to requisite shareholder and regulatory approvals, with an expected timeline of 6-9 months for completion.

The equity valuation of the transaction will be at ₹31,500 crores, while the balance amount of around ₹16,600 crores will be raised as debt by both JSSL and JKL for the acquisition purpose.

CareEdge Ratings will continue to monitor the progress of execution of the above transaction and resolve the watch upon completion of the transaction. Furthermore, the minority stake of 17.35% in PSL is held by JSW Shipping & Logistics Private Limited, which will receive shares of JSWSL upon merger of PSL with JSWSL.

The ratings assigned to the bank facilities and Commercial paper of BPSL continues to factor the normalisation of the operational profitability during H1FY26 for BPSL owing to capex stabilisation for the incremental 1 million tonne (MT) capacity, which has been commissioned since Q3FY25. Though revenue contribution of BPSL to JSWSL's topline is ~11.5% for H1FY26, JSWSL derives benefit with presence in eastern region (closer to mines, Odisha) where JSWSL does not have manufacturing base. Additionally, BPSL acquisition has provided JSWSL with the Netrabandha mine having reserves of close to 82 MT. Furthermore, JSWSL has demonstrated strong commitment since acquisition of BPSL, and have also extended letter of comfort for some of the existing bank facilities of BPSL.

The company's sales volume increased from 2.96 MT in FY24 to 3.31 MT in FY25 (FY, refers to the period April 01 to March 31) and further to 1.61 MT in H1FY26. The company derives 34% of the revenue from value-added steel products including cold-rolled steel, galvanised and colour-coated steel, while hot-rolled coils/sheet and long products contributed to around 25% and 26% share of TOI respectively, during FY25. On the industry front, the domestic market maintained healthy volume demand in FY25 (FY refers to the period April 01 to March 31) but subdued global steel prices, led to a surge in low-priced flat steel imports, adversely affecting primary steel players, especially those with a higher share of flat products in its revenue profile. This has resulted in pressure on price realisations and margin shrinkage during FY25 for majority of the primary flat steel players. For BPSL, the Profit before interest, lease, depreciation and tax (PBILDT) has decreased from ₹9,341/tonne in FY24 to ₹6,706/tonne in FY25. The PBILDT/tonne for BPSL has been further lower as compared to peers, owing to certain operational issues and overheads as well associated cost with the ramp-up of additional 1 MT capacity commissioned during Q3FY25. The company has installed cost reduction equipment's and also fully ramped-up the incremental capacity, resulting in PBILDT improving to Rs. 10,069/tonne during H1FY26. Going ahead, with almost 1.8 MTPA of existing downstream assets and newly added long-products, the company's product profile has also diversified which is expected to result in stable cash flow generation going ahead.

The ratings are, however, constrained by the vulnerability of profitability margins to the volatility in steel prices and the company's presence in the inherently cyclical steel industry. Going forward, further integration as well as the continued support from JSWSL for the overall operations of BPSL will remain critical from the credit perspective.

[1]Complete definition of ratings assigned are available at www.careratings.com and other CARE Ratings Limited's publications.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors- Factors likely to lead to positive rating action

- Improvement in the financial/credit risk profile of JSWSL

Negative factors- Factors likely to lead to negative rating action

- Net debt to PBILDT of more than 3.0x on a sustained basis.
- Weakening of linkages and/or deterioration in the financial/credit risk profile of JSWSL.

Analytical approach: Standalone

CareEdge Ratings has adopted the standalone approach. However, the management, financial, and operational linkages with JSWSL (equity holding of 82.65% in BPSL as on Sep 30, 2025) have also been considered and accordingly parent notch-up framework has been applied to arrive at the ratings.

Detailed description of key rating drivers:

Key strengths

Capacity enhanced post-acquisition by JSWSL

The JSW group has a leading market share in southern and western India. With the acquisition of BPSL, JSWSL has extended market reach to the eastern and northern regions in India. As on Sep 30, 2025, BPSL has an integrated steelmaking capacity of 4.5 mtpa at Jharsuguda, Odisha having increased from 3.5 MTPA as on June 30, 2024, aided by capacity expansion. The company also has significant downstream facilities at Jharsuguda, Chandigarh, and Kolkata. BPSL's product mix of value-added steel products complements JSWSL's product profile, while BPSL benefits from JSWSL's strong track record in the steel industry.

Capex monetisation and operational efficiency to normalise operating margins for FY26

The company's sales volume increased from 2.96 MT in FY24 to 3.31 MT in FY25 and further to 1.61 MT in H1FY26. The company derives 34% of the revenue from value-added steel products including cold-rolled steel, galvanised and color-coated steel. While hot-rolled coils/sheet and long products contributed 25% and 26% respectively during FY25. For BPSL, PBILDT has decreased from ₹9,341/tonne in FY24 to ₹6,706/tonne in FY25. The PBILDT/tonne for BPSL has been further lower as compared to peers, owing to certain operational issues and overheads as well associated with the ramp-up of additional 1 MT capacity commissioned during Q3FY25. The company has installed cost reduction equipments and also fully ramped-up the incremental capacity, resulting in PBILDT improving to Rs. 10,069/tonne during H1FY26. Going ahead, with almost 1.8 MTPA of existing downstream assets and newly added long-products, the company's product profile has also diversified which is expected to result in stable cash flow generation going ahead.

Access to the JSW group's supplier and distributor network to provide operational efficiency

JSWSL has four operational iron ore mines in Odisha, ensuring part raw material security for the company. BPSL's Netrabandha mine in Odisha is expected to commence production in Q4FY26 with an estimated capacity of 2 million tonnes per annum. Currently, BPSL procures iron ore from JSW mines located in Odisha and other mines. BPSL imports its coal requirement for the direct reduced iron (DRI) plant and sources coal for its captive power plant from various mines of Mahanadi Coalfields Limited. BPSL also imports its requirements of coking coal and high-grade steam coal. By leveraging the relationship of JSWSL with its suppliers, BPSL is able to procure raw materials on better terms. On the other hand, BPSL is likely to benefit from the access to JSWSL's strong distribution network, which, combined with JSW's brand value, gives the company a competitive advantage and helps in increasing the sales volumes even in times of a challenging business environment.

Key weaknesses

Exposed to foreign exchange risk

Owing to high dependence on imports for its coking coal, the company remains exposed to forex risk, which is partially mitigated by its hedging policy, covering its revenue account fully on a gross basis and the next one year's debt service obligations. Also, the company has been a leading exporter, and hence, has a natural hedge to that extent.

Cyclicality of the steel industry

The prospects of the steel industry are strongly co-related to economic cycles. The demand for steel is sensitive to the trends of particular industries, such as automotive, construction, infrastructure, and consumer durables, which are the key consumers of steel products. These key user industries, in turn, depend on various macroeconomic factors such as consumer confidence, employment rates, interest rates, and inflation rates, among others, in the economies in which they sell their products. When downturns occur in these economies or sectors, the steel industry may witness a decline in demand.

Liquidity: Adequate

As on Sep 30, 2025, the company has a cash and liquid investments of ₹334 crore (as on March 31, 2025, ₹1,400 crore). The company has availed term loans for its capacity expansion projects, which will primarily be used as capex reimbursement for the project cost incurred during FY25 for the capacity expansion. BPSL, being part of the JSW group, enjoys significant financial flexibility. The company also has fund-based working capital limits of ₹1,100 crore which are moderately utilised at around 10% for the trailing 12 months ended August 2025, providing cushion to the existing liquidity position.

Assumptions/Covenants Not applicable

Applicable criteria

Definition of Default
Factoring Linkages Parent Sub JV Group
Liquidity Analysis of Non-financial sector entities
Rating Outlook and Rating Watch
Manufacturing Companies
Financial Ratios – Non financial Sector
Short Term Instruments
Iron & Steel

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Commodities	Metals & Mining	Ferrous Metals	Iron & Steel

BPSL is a steel manufacturer with facilities for long and flat steel products. The company has a presence across the value chain, with manufacturing facilities for sinter, sponge iron, pig iron, HRC, CRC, bars, rods and galvanised sheets, tubes and pipes. BPSL was referred to the National Company Law Tribunal (NCLT) for the Corporate Insolvency and Resolution Process (CIRP) under the Insolvency Bankruptcy Code (IBC) on July 26, 2017. The NCLT, through its order dated September 05, 2019, approved the resolution plan for BPSL with a bid amount of ₹19,700 crore. The company has been acquired through a holding company – Piombino Steel Limited, wherein, JSWSL holds 82.65% stake as on September 30, 2025, and the balance is held by JSW Shipping and Logistics Private Limited. As on Sep 30, 2025, BPSL has a capacity of 4.50 million tonnes per annum (MTPA) of crude steel.

Brief Financials (₹ crore)- BPSL Standalone	FY2024 (A)	FY2025 (A)	H1FY26 (UA)
Total operating income	21,893	21,440	10,069
PBILDT	2,765	2,220	1,543
PAT	674	260	497
Overall gearing (times)	0.47	0.60	n.a.
Interest coverage (times)	3.04	2.71	3.36

A: Audited UA: Unaudited; Note: 'the above results are latest financial results available', n.a.- not available
PBILDT: Profit before interest, lease rentals, depreciation and tax

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper-Commercial Paper (Standalone)		Proposed	Not yet placed	7-365 days	1000.00	CARE A1+
Fund-based - LT-Term Loan		-	-	March 2031	8000.00	CARE AA (RWD)
LT/ST Fund-based/Non-fund-based-CC/WCDL/OD/LC/BG		-	-	-	1200.00	CARE AA (RWD) / CARE A1+
Non-fund-based - LT/ ST-BG/LC		-	-	-	4473.00	CARE AA (RWD) / CARE A1+
Non-fund-based - LT/ ST-BG/LC		-	-	-	3175.00	CARE AA (RWD) / CARE A1+

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023
1	Fund-based - LT-Term Loan	LT	8000.00	CARE AA (RWD)	1)CARE AA; Stable (07-Oct-25) 2)CARE AA (RWD) (13-May-25) 3)CARE AA; Stable (02-May-25)	1)CARE AA; Stable / CARE A1+ (03-Mar-25) 2)CARE AA; Stable / CARE A1+ (04-Apr-24)	1)CARE AA; Stable / CARE A1+ (09-Oct-23) 2)CARE AA; Stable / CARE A1+ (07-Apr-23)	1)CARE AA; Stable / CARE A1+ (15-Sep-22) 2)CARE AA (CE); Stable / CARE A1+ (CE) (12-May-22)
2	Fund-based/Non-fund-based-LT/ST	LT/ST	-	-	1)Withdrawn (02-May-25)	1)CARE AA; Stable / CARE A1+ (03-Mar-25) 2)CARE AA; Stable / CARE A1+ (04-Apr-24)	1)CARE AA; Stable / CARE A1+ (09-Oct-23) 2)CARE AA; Stable / CARE A1+ (07-Apr-23)	1)CARE AA; Stable / CARE A1+ (15-Sep-22) 2)CARE A+; Stable / CARE A1 (12-May-22)
3	Un Supported Rating-Un Supported Rating (LT/ST)	LT/ST	-	-	-	-	-	1)Withdrawn (15-Sep-22) 2)CARE A+; Stable / CARE A1 (12-May-22)
4	LT/ST Fund-based/Non-fund-based-CC/WCDL/OD/LC/BG	LT/ST	1200.00	CARE AA (RWD) / CARE A1+	1)CARE AA; Stable / CARE A1+ (07-Oct-25) 2)CARE AA / CARE A1+ (RWD) (13-May-25) 3)CARE AA; Stable / CARE A1+ (02-May-25)	1)CARE AA; Stable / CARE A1+ (03-Mar-25) 2)CARE AA; Stable / CARE A1+ (04-Apr-24)	1)CARE AA; Stable / CARE A1+ (09-Oct-23) 2)CARE AA; Stable / CARE A1+ (07-Apr-23)	1)CARE AA; Stable / CARE A1+ (15-Sep-22) 2)CARE A+; Stable / CARE A1 (12-May-22)

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023
5	Non-fund-based - LT/ ST-BG/LC	LT/ST	4473.00	CARE AA (RWD) / CARE A1+	1)CARE AA; Stable / CARE A1+ (07-Oct-25) 2)CARE AA / CARE A1+ (RWD) (13-May-25) 3)CARE AA; Stable / CARE A1+ (02-May-25)	1)CARE AA; Stable / CARE A1+ (03-Mar-25) 2)CARE AA; Stable / CARE A1+ (04-Apr-24)	1)CARE AA; Stable / CARE A1+ (09-Oct-23) 2)CARE AA; Stable / CARE A1+ (07-Apr-23)	1)CARE AA; Stable / CARE A1+ (15-Sep-22) 2)CARE A+; Stable / CARE A1 (12-May-22)
6	Non-fund-based - LT/ ST-BG/LC	LT/ST	3175.00	CARE AA (RWD) / CARE A1+	1)CARE AA; Stable / CARE A1+ (07-Oct-25) 2)CARE AA / CARE A1+ (RWD) (13-May-25) 3)CARE AA; Stable / CARE A1+ (02-May-25)	1)CARE AA; Stable / CARE A1+ (03-Mar-25) 2)CARE AA; Stable / CARE A1+ (04-Apr-24)	1)CARE AA; Stable / CARE A1+ (09-Oct-23) 2)CARE AA; Stable / CARE A1+ (07-Apr-23)	1)CARE AA; Stable / CARE A1+ (15-Sep-22) 2)CARE A+; Stable / CARE A1 (12-May-22)
7	Commercial Paper-Commercial Paper (Standalone)	ST	1000.00	CARE A1+	1)CARE A1+ (07-Oct-25) 2)CARE A1+ (RWD) (13-May-25) 3)CARE A1+ (02-May-25)	1)CARE A1+ (03-Mar-25) 2)CARE A1+ (04-Apr-24)	1)CARE A1+ (09-Oct-23)	-

LT: Long term; ST: Short term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of the Instrument	Complexity Level
1	Commercial Paper-Commercial Paper (Standalone)	Simple
2	Fund-based - LT-Term Loan	Simple
3	LT/ST Fund-based/Non-fund-based-CC/WCDL/OD/LC/BG	Simple
4	Non-fund-based - LT/ ST-BG/LC	Simple

Annexure-5: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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